

QRU Knowledge Record™ Master Specification

KR Title:

What Is Forex Trading? — Beginner Foundations Academy™

Knowledge Record Purpose:

Create a complete beginner-friendly understanding system for foreign exchange markets, currencies, global economies, and the foundational concepts required before a person attempts to participate in Forex trading.

The goal is not to teach gambling or quick-profit strategies.

The goal is to create **Real Understanding™** of how money movement between countries works, why currencies change value, and how traders analyze currency markets.

This Knowledge Record™ will serve as the foundation for future QRU products:

- Forex Beginner Course
- Forex Workbook
- Forex A–Z Academy™
- Video Lessons
- Assessments
- Vocabulary Decoder™
- Trading Simulations
- Community Learning Modules

Layer 1 — Core Question

What is Forex?

Layer 2 — Simple Answer

Forex is the global marketplace where people, companies, banks, and governments exchange one currency for another.

The word Forex comes from:

Foreign Exchange.

Example:

A person traveling from the United States to Europe exchanges U.S. dollars for euros.

That same exchange system operates globally every day through financial markets.

Layer 3 — Why Does Forex Exist?

Explore:

- Why countries have different currencies
 - Why international trade requires currency exchange
 - Why businesses exchange money internationally
 - Why governments monitor currency values
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Layer 4 — Currency Foundations

Explain:

What is money?

What gives money value?

Why do countries create currencies?

Examples:

- Dollar
- Euro

- Yen
 - Pound
 - Yuan
-

Layer 5 — Global Economy Connection

Explain how currencies connect to:

- Countries
 - Businesses
 - Consumers
 - Governments
 - International trade
-

Layer 6 — Currency Pairs

Explain:

Forex is traded in pairs.

Examples:

EUR/USD

GBP/USD

USD/JPY

Explain:

Base currency

Quote currency

Exchange rate

Layer 7 — Reading Currency Prices

Teach beginners:

What does EUR/USD = 1.10 mean?

Explain:

One euro equals 1.10 U.S. dollars.

Layer 8 — Supply and Demand

Explain:

Why currencies rise and fall.

Connect to:

- buyers
 - sellers
 - scarcity
 - confidence
-

Layer 9 — Economic Forces

Explain:

How these influence currencies:

- Interest rates
 - Inflation
 - Employment
 - Economic growth
 - Government policy
 - Political stability
-

Layer 10 — Central Banks

Explain:

Role of:

- Federal Reserve
- European Central Bank
- Other central banks

Explain how monetary policy affects currency values.

Layer 11 — World Economy Comparison

Create beginner comparisons:

United States economy

European economy

Japanese economy

Emerging markets

Explain strengths, weaknesses, and differences.

Layer 12 — Market Participants

Explain:

Who participates in Forex?

- Central banks
- Commercial banks
- Corporations
- Investment firms
- Individual traders

Layer 13 — Trading vs Investing

Clarify:

Trading focuses on shorter-term price movements.

Investing focuses on long-term ownership and growth.

Layer 14 — Trader Mindset

Explain:

Trading requires:

- patience
 - discipline
 - risk awareness
 - emotional control
-

Layer 15 — Risk Understanding

Explain:

Potential losses

Why risk management matters

Why beginners should protect capital.

Layer 16 — Forex Vocabulary Decoder™

Create beginner definitions for:

Pip

Lot

Spread

Leverage

Margin

Broker

Liquidity

Volatility

Trend

Layer 17 — Market Structure

Explain:

How trades move through:

Trader

Broker

Liquidity providers

Global market

Layer 18 — Charts Introduction

Explain:

Why traders use charts.

Introduce:

- candles
 - price movement
 - timeframes
-

Layer 19 — Technical Analysis

Introduction

Beginner concepts:

- support
 - resistance
 - trends
 - patterns
-

Layer 20 — Fundamental Analysis

Introduction

Understanding:

Economic news

Interest rates

Global events

Layer 21 — Psychology of Trading

Explain:

Common emotions:

- fear
- greed

- impatience
 - overconfidence
-

Layer 22 — Common Beginner Mistakes

Include:

- trading without education
 - risking too much
 - chasing profits
 - ignoring losses
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Layer 23 — Forex Myths

Address:

“You can get rich quickly.”

“More trades mean more success.”

“Experts never lose.”

Layer 24 — Ethics and Responsibility

Teach:

Trading is a skill-based activity requiring education and responsibility.

Layer 25 — Beginner Learning Path

Create:

Step 1: Understand money

Step 2: Understand currencies

Step 3: Understand markets

Step 4: Practice safely

Step 5: Develop discipline

Layer 26 — Real World Analogies

Create analogies:

Currency exchange as international shopping.

Forex market as a global marketplace.

Trading decisions as business decisions.

Layer 27 — Frequently Asked Questions

Include:

Can anyone trade Forex?

How much money is needed?

Is Forex gambling?

Why do currencies change?

Layer 28 — Assessment Questions

Create:

Beginner quizzes

Scenario questions

Vocabulary tests

Understanding checks

Layer 29 — Visual Learning Requirements

Create:

Currency maps

Economic comparison charts

Trading vocabulary graphics

Market flow diagrams

Layer 30 — Story-Based Learning

Use:

A beginner character learning how currencies work.

Show mistakes, discoveries, and growth.

Layer 31 — Knowledge Connections

Connect Forex to:

- economics
- history
- geography
- business

- psychology
 - technology
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Layer 32 — Verification Requirements

Verify:

Definitions

Economic concepts

Market terminology

Historical examples

Layer 33 — Simplification Test

Ensure:

A beginner can understand without financial background.

Layer 34 — Treasure Standard™ Review

Evaluate:

Accuracy

Clarity

Educational value

Visual quality

Practical usefulness

Layer 35 — Product Manufacturing Opportunities

Generate:

- course outline
 - workbook
 - videos
 - flashcards
 - glossary
 - classroom activities
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Layer 36 — Continuous Improvement

Record:

User feedback

Learning outcomes

Questions from students

Market changes

Future revisions

QRU Core Teaching Question™

How do we remove unnecessary confusion while preserving the truth?

Final Standard:

The learner should finish this Knowledge Record™ understanding not just what Forex is, but why it exists, how it connects to the world, and what responsible participation requires.